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Challenges and opportunities in mergers and acquisitions: three international case studies – Deutsche Bank-Bankers Trust; British Petroleum-Amoco; Ford-Volvo

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Mergers and acquisitions, Partnering, Outcomes, Integration

Abstract

Explores the challenges and opportunities in integration processes, and the factors responsible for the success of cross-boarder acquisitions within related industries. Emphasises the corporate strategies the three partnered companies used to maximise synergies, and to minimise the negative effects of the unavoidable, but necessary and complex, acculturation process. Evidence extracted from these case studies highlights that successful co-operation between the firms resulted from the learning process developed by the partners. Knowledge acquisition and the subsequent organisational learning were the important desirable outcomes of the acquisition processes experienced by the organisations under study. The paper is structured as follows: a literature review on integration strategies and cultural impact on mergers and acquisitions precedes the three success stories. Accounts originating from semi-structured interviews with top executives of Deutsche Bank – Bankers Trust; British Petroleum – Amoco; and Ford – Volvo are compared and contrasted with the literature. Outlines the results achieved in this self-contained initial stage of an ongoing research project.



Journal of European Industrial Training
27/6 [2003] 313-321

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1. Introduction

The prospect of increasing profitability and market share by acquisitions continues to exercise a more seductive and immediate appeal to business leaders than a reliance on growth alone (Cartright and Cooper, 1993; Sudarsanam, 1995; Chatterjee *et al.*, 1992; Wullaerts, 2002). There has always been a substratum of mergers, acquisitions and, indeed, divestments in all developed economies. However, the extent of this depends on the buoyancy of the economy. The periodic rise and fall of such activity has heightened debate among managers, academics, politicians, and regulators about acquisition activity and their benefits, as well as ethical considerations (Vinten, 1992).

Mergers and acquisitions (M&A) have a unique potential to transform firms, and to contribute to corporate renewal (Angwin, 2001). They can help a firm renew its market position at a speed not achievable through internal development (Haspeslagh and Jemison, 1991; Harrison, 2002). This article explores international integration strategies, and the way in which the companies cope with the challenges from both firm- and nation-specific differences. While the literature tends to emphasise the high failure through inappropriate integration strategies, the present study, by contrast, describes the best practices utilised to foster organisation learning which resulted in success in the period following. Despite its undoubted importance, rather little is known about learning through international acquisitions or other forms of inter organisational cooperation (Child, 2000).

The paper is structured as follows: section 2 discuss the integration and acculturation process in relation to M&A as viewed by different authors; section 3

describes the three case studies; section 4 discusses the similarities and differences among the integration strategies used; and the concluding section 5 links the findings with the literature.

2. The acquisition process and value creation

Integration process is the real source of value creation in acquisitions ... (Haspeslagh and Jemison, 1991, p. 167).

Value creation is the important objective in successful acquisitions. Yet, empirical and other studies continue to highlight the low success rates associated with acquisitions (Lawrence, 2002; Marks and Mirvis, 1965). No matter how attractive is the business opportunity associated with an acquisition process, value is not created until capabilities are transferred, and people from both organisations collaborate in order to create the expected benefits and the unpredicted opportunities. This collaboration relies on the will and ability of managers from both organisations to work together towards a new future. The key to integration is to obtain the participation of the people involved without compromising the strategic task.

Finding similar organisational cultures and management styles has become a common panacea for avoiding employee dissatisfaction that could undermine M&A performance (Larsson, 1993). Different authors (for example, Cartwright and Cooper, 1993) agree that it is important to consider cultural compatibility as a criterion for screening potential candidates for M&A.

On the other hand, managing the cultural differences has been proved as a more realistic and successful strategy in integration processes than finding the “ideal

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Alzira Salama,
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Journal of European Industrial
Training
27/6 [2003] 313-321

culture fit". Buono and Bowditch (1989) consider that successful integration can be achieved even between diversified organisational cultures. This viewpoint is adopted in this exploratory study. It examines the strategies being used by executives that encourage employees' diversity tolerance while allowing for learning to occur within parent and acquired firm. It looks at the strategies the firms implemented to facilitate the units to work together, and integrative practices involving firms within the same industry but from different countries and contrasting corporate values. In bringing together firms with different skills and knowledge bases, acquisitions create unique learning opportunities for the partner firms. As recently argued by management researchers, knowledge and the capacity to create, transfer, transform and utilise it are the most important sources of a firm's sustainable competitive advantage.

The integration process and its challenges

Effective integration can be defined as the combination of firms into a single unity or group, generating joint efforts to fulfil the goals of the new organisation. This combination is often obstructed by the challenges of nationality and perceived cultural differences (Olie, 1994). International mergers are more likely to bring together people with different values and beliefs about the work place. Factors like an individual country's ideologies and industrial relations systems, increase the national distinctiveness of organisations. Merging implies the reconstruction of a new social identity.

Two organisational integration variables are particularly relevant in the acquisition process (Datta and Grant, 1990; Datta, 1991):

- 1 the motive for the acquisition (strategic fit and decision making process); and
- 2 the process of implementation (including the "acculturation" process).

The motive for an acquisition is important in that it will influence the degree of required interaction between members of each organisation. Implementing strategies, if not handled well, may prove to be detrimental to organisational effectiveness, particularly if it leads to high levels of acculturate tension and conflict (Buono and Bowditch, 1989). Acculturative conflict during acquisitions is often held accountable for the failure to implement successfully an organisational integration strategy.

Acculturative process

Nahavandi and Malekzadeh (1988, p. 82) adopted the anthropological term acculturation to describe the cultural changes resulting from the interaction of one organisational culture with another, or:
... the ways in which two groups adapt to each other and resolve emergent conflict.

A basic acculturative process occurs between the conflictive subgroup desires for:

- cultural differentiation; and
- organisational forces for integration.

As Buono and Bowditch (1989, p. 105) observe, some individuals may refuse to give up particular culturally bound ideologies, traditions or behaviours, and therefore may purposely delay the acculturation process, or "lag" behind the rest of the organisation in terms of accepting culture change (Vansina, 1991).

Acquisitions selection decisions are generally driven by financial and strategic considerations, yet many organisational alliances fail to meet expectations because of difficulties in the acculturation process which would compromise the knowledge transfer and learning to occur. Those difficulties in the acculturation process could be a function of either or both of the integration strategies or the incompatibility of the partners' cultures (Cartwright and Cooper, 1992). Potential synergies will result in superior performance only if it is realised through effective post-merger or post-acquisition implementation. This goal is not easily accomplished (Hunt *et al.*, 1987). As emphasised by Buono *et al.* (1985) integrating two separate companies with different traditions and backgrounds into a single unit often proves to be a difficult and time-consuming process. Conflicts between the two organisational groups engaged in a merger can frequently be observed during the post-merger situation. Members of the organisations typically start defining the situation in antagonistic terms, of "us" versus "them", and power struggles evolve as organisational groups engage in bickering over scarce resources. In spite of formal attempts to blend or create a common identity or culture, the persistence of original identities can be observed in post-merger situations long beyond the consummation of the merger. According to Elsaa and Veiga (1994), the success of a particular integration strategy depends primarily on:

- the manager's ability to reconcile the need for strategic interdependence between the two firms; and
- the need for organisational autonomy.

Alzira Salama,
Wayne Holland and
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*Challenges and opportunities
in mergers and acquisitions:
three international case
studies – Deutsche Bank-
Bankers Trust;
British Petroleum-Amoco;
Ford-Volvo*

Journal of European Industrial
Training
27/6 [2003] 313-321

Post-merger integration efforts can generally be described as ranging from minimal assimilation, which leaves the acquired firm more or less autonomous, to complete assimilation or blending of operations and cultures. The balance of these two factors determines the appropriate integration approach. for each particular acquisition. This current study is focused on describing integration processes experienced by three case studies. In the cases, we can observe a need for strategic interdependence – as expected within related industries – and the desire for each group to keep their own identity and autonomy.

3. Method

The objective of this project was to investigate the impact of the integration strategies on the outcomes of acquisitions. The specific aim was to examine what actually happened during the integration process in firms where strategic acquisitions were made to improve the competitive position of one or both firms. The study explored how transferring capabilities from acquisitions can lead to value creation. This study aimed to find empirical evidence in order either to support or to reject the findings from previous research, as outlined in the previous sections of this paper.

Data collection

Semi-structured interviews were conducted primarily with top directors responsible for the acquisitions integration process. Three of the interviews were tape-recorded and transcribed. Each interview lasted from one to two hours. In order to achieve a triangular approach, further data were collected with the Cap Gemini Ernst Young director responsible for consulting on international M&A processes of organisational integration. Finally, information from annual reports and specific literature on organisation's underlying philosophy and working practices were analysed. The interviews were conducted by the authors in each director's London offices. The BP-Amoco interview, however, was conducted by telephone and also tape-recorded. An interpretative approach was utilised to analyse the data collected.

4. The case studies

Research on M&A is sensitive due to the often-required secrecy and celerity (Walter, 1985). Consequently, it was an extremely arduous process to obtain access to

organisations to discuss integration strategies.

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The case studies involve three large acquisitions that took place in the European/US markets within related industries. The companies involved came from investment banking, the oil industry and car manufacture. Any kind of merger scenario is unique. Therefore, it is important to understand and to analyse very carefully what strategies made a case into a success story. The companies selected to participate filled the criteria of being in the international arena and in related industries. The cases examined a specific question: "What are the practical steps to be accomplished in order to minimise the feelings of uncertainty normally expected by employees, and also to facilitate the learning process to occur between the two groups of people in their process of cultural and behavioural integration?"

Case 1 – Integrating Deutsche Bank (DB) and Bankers Trust (BT)

I would always maintain that the DB/BT deal was one of the most successful integration processes in our industry, in Investment Banking ... Two years after the acquisition we can say that our own position in the USA has been improved and also our position in corporate finance has improved (Harald Stoehr).

Timing and integration strategies were perceived as contributing to the acquisition success. On June 1999, when the deal between DB and BT took place, there was a very favourable market situation. This is illustrated by Harald's account:

... The synergies we created in bringing the two banks together were immediately seen because the market was there and ... of course, success breeds success ... the moment you are on a winning tour all challenges will be overcome ...

Besides the favourable market situation, decision makers at DB planned the integration process carefully. As Harald states: "Internally we did a number of things obviously right ..."

Alzira Salama,
Wayne Holland and
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*Challenges and opportunities
in mergers and acquisitions:
three international case
studies – Deutsche Bank-
Bankers Trust;
British Petroleum-Amoco;
Ford-Volvo*

Journal of European Industrial
Training
27/6 [2003] 313-321

Reasons for DB acquiring BT: the strategic fit

DB's process of growth had been quite successful particularly marked by the bank's process of cultural transformation which occurred in 1995 – "changing a German bank into a global organisation". Still, the corporate finance of DB, according to the interviewee, was lagging behind, particularly in the USA. The attractiveness of BT was that it included people from Alex Brown, the oldest US investment bank. BT had acquired Alex Brown two years earlier and this was a very sensitive situation. Alex Brown was celebrating their 200th anniversary when the DB-BT acquisition took place.

The pre-integration period: "courting phase"

Harold admitted that the crucial successful action taken by top management of DB was the way they used the due diligence period: the time between announcing the deal and closing the deal.

This was a very tricky six-month period when the acquirer had made a commitment, but the approval procedures take time ... The two companies operate and continue to operate independently ... it is a very difficult and hugely artificial scenario ...

Cultural assessment exercise

During the due-diligence period, DB top management decided to undertake a cultural assessment exercise. This was a powerful strategy to minimise culture clashes between the German and the US bank. The cultural assessment was conducted by external consultants and aimed to uncover perceptions of each other's groups of people.

Cultural assessment outcomes

The cultural awareness exercise disclosed that DB employees were not convinced about the validity of the deal. "Some people felt that BT was a second/third kind of franchise and that it would not really help us to improve on our reputation."

This perception was seen by top management to be the result of an information gap. Better communication to the employees on the rationale and validity of the acquisition process was then implemented. The cultural awareness exercise also revealed the internal conflict that existed between BT and Alex Brown. The exercise uncovered that these two banks had not been integrated properly and as a consequence BT and Alex Brown were operating on different levels. There was a big crisis between them emphasised by the Alex Brown employees feeling that "they had lost their identity ..."

To gain Alex Brown employees' confidence and trust was an important strategic target for Deutsche Bank. Top management then decided to name the merged company in the USA, The Deutsche Bank – Alex Brown Investment Bank. This way, they kept the identity of Alex Brown and also reinforced the brand. Alex Brown employees felt that DB had rescued them from BT and they had actually kept their identity. The cultural exercise also revealed some issues relating to the national culture differences. BT felt that DB was very a German company, bureaucratic, hierarchical, with slow decision making process. "This cultural awareness helped us to start challenging our own working values and embracing new ones."

The integration phase: "the marriage"

The integration team. The integration team is a group of key executives who would be in charge of making the necessary decisions, "the tough calls", relating to the integration strategies. The team consisted of division heads, the human resources head and the CEO. The integration team had to decide which part of BT fits into GCI – the investment side of the business. Managers were not forced to take over people they did not necessarily need.

We stripped out a few component parts of BT business structure. Many parts we were able to integrate, others it was not possible – that is why we made these people redundant.

In other areas DB managers clearly admitted that BT people had a much stronger position than they had themselves:

In those circumstances we made the very ruthless decision that our people would have to go and we took over BT's people ... So it was really the best of breed approach that we picked the best parts of either side.

Incentive programmes (redundancy packages).

Top management decided to implement specific incentives for those employees who would be redundant after the deal was closed. These programmes were linked to the closing date, "... for some people it is still a very negative experience to be made redundant".

Retention strategies for BT employees. In order to avoid undesirable employee turnover and also to minimise uncertainties, top management implemented a very special retention programme for the "key people" from BT. Special commitments and guarantees were made so that "their minds were put to rest". These "special people" would get additional rewards if they were still on board on the second anniversary of closing – 4 June 2001 (coincidentally it was

Alzira Salama,
Wayne Holland and
Gerald Vinten
*Challenges and opportunities
in mergers and acquisitions:
three international case
studies – Deutsche Bank-
Bankers Trust;
British Petroleum-Amoco;
Ford-Volvo*

Journal of European Industrial
Training
27/6 [2003] 313-321

the day this interview took place) and the third anniversary of closing – 4 June 2002.

The integration team did not offer retention packages for DB employees.

Case 2 – integrating British Petroleum and Amoco into a single organisation

... It was a successful acquisition ... because it achieved more synergies than had originally been forecast ... It achieved them faster than we had forecast ... it went further and faster than we had promised the market and shareholders ... (Nick Starrit).
BP-Amoco is one of the most successful cases of integration strategies (Angus Knowles-Cutler).

Pre-merger phase

The success of integrating BP-Amoco lay in the preparation phase. An integration team – “pre-merger task force” – was created in order to face the challenges of merging two large international groups (US and British). The integration team was lead by a senior line manager reporting to the chief executive officer. This leader would have good project management skills in order to plan and co-ordinate across all the various departments and divisions who were acting together. During the due-diligence period, the team assessed the possible synergies. They focused on combining two head offices and merging two operating divisions (like computing systems, accounting, HR).

Integration phase: post-merger phase (the marriage situation)

Integrating duplicated areas. During the interview, Nick Starrit borrowed the metaphor of a marriage in order to explain some of the activities:

Decision on the common assets – in a marriage the couple needs to decide about how to deal with duplication of houses, telephones, cars, washing machines, etc. ...

Cost of each unit – again decisions need to be made regarding: How much do you spend on telephone bills? How much do I spend on telephone bills?

Benchmarking – How much other couples (companies) spend on telephone bills?

Vision/desired future situation – How much our telephone bill should cost in the future?

Establishing the management for the new company:

Like Noah, you have two of everything, but you usually only need one manager for each post. Which one are you going to choose? Or do you want a third candidate from outside? What are the specifications for the expanded job?

It was important to create opportunities for personnel in both companies. BP accounted

for 60 per cent to Amoco's 40 per cent share of the merger. Out of the top 500 management appointments in the new BP-Amoco company:

It was very interesting that approximately 60 per cent came from heritage BP and approximately 40 per cent came from Amoco.

At the business unit level people coming from both companies are managing the new organisation:

So we effectively blended or feathered in Amoco and BP personnel at the business unit level, so it was not dominated exclusively by one company or other.

Integrating systems. It was necessary to uncover the best practices inside each organisation. For example, the BP performance management process was considered the best practice in terms of generating strong performance. However, when it came to allocating capital, they adopted the Amoco model. HR integration was very complex and it generated strong emotions among employees:

Introducing a new common job grading system and practical remuneration issues world wide was not particularly complex, in the intellectual sense, but it clearly had emotional connotations.

For many thousands of people their job grade was a big part of their former identity within their heritage company:

Changing their letter codes meant explaining the basis of evaluation.

Integrating all the benefit packages, training, recruitment activities etc. ... all this becomes a huge effort for any HR department. They set up a mini task force and project teams with line and HR people to accomplish all the necessary changes.

Building a new corporate culture for the future organisation. Several meetings with the top 500 managers were held in order to explain BP's operating philosophy. It also encouraged them to socialise and mix with their counterparts from the Amoco organisation. These activities encouraged breaking down the barriers between the two groups. During these meetings, the main focus was to reinforce the target synergies and future growth prospects, trying to avoid “living in the past”:

We are not a prisoner of our past ...

They offered clear boundaries and guidelines about expected performance and the desired new values of the future company.

Monitoring the progress of implementing the integration strategies

The integration team “took the pulse” of the organisation on a regular basis. It surveyed a

Alzira Salama,
Wayne Holland and
Gerald Vinten
*Challenges and opportunities
in mergers and acquisitions:
three international case
studies – Deutsche Bank-
Bankers Trust;
British Petroleum-Amoco;
Ford-Volvo*

Journal of European Industrial
Training
27/6 [2003] 313-321

sample of staff in the big locations on a monthly basis for the first 18 months to see how people felt as the merger process unfolded. This strategy helped to inform the subsequent communication effort as well as providing top management with good data by which to monitor the attempts to influence “the hearts and minds” of the work force to assure themselves that the staff were completely committed to the new company.

Case 3 – Volvo and Ford: merging two distinct cultures

Ford is investing in us and we are further developing our unique brand “Volvo” for an even brighter future (Anita Beijer).

This third case study focuses on describing and explaining how a large “very Swedish” traditional family organisation and a huge Anglo-Saxon corporation are developing their own ways of living together.

Cultural differences between Ford and Volvo

As perceived by employees from both organisations, Volvo is a decentralised firm and teamwork oriented. The participatory style of management prevails in the Volvo corporate culture. Volvo’s decision making process happens at the lower levels of the organisational structure.

That is the Scandinavian way of working together, there is no hierarchy . . . you get credibility due to the knowledge you have and to your contribution to the company. It has nothing to do with ranking.

Volvo Swedish culture is seen as very strong and, in many cases, overrides the host national values:

Volvo culture you will find in Japan, in South America. You find it where you go in Volvo around the world. The Volvo Japanese people are very Swedish . . .

By contrast with the Swedish organisation, Ford is perceived as a structured and hierarchical US operation. As perceived by top management, another important cultural trait, which differentiates Ford from Volvo, is the way both organisations deal with unions’ issues. At Volvo, management and employees work very closely with the union representatives to achieve better business results. This high level of co-operation is not perceived in Ford. Another sensitive area is the gap found between levels of employees. Volvo employees receive monthly salaries, including the blue collar workers. This is not the case in Ford. This is an area where both companies perceive themselves distant from each other.

Both Volvo and Ford employees are in the process of learning about each other’s values

and beliefs, which underlie their behaviour and their differences in business practices. According to Anita Beijer, this cultural awareness is seeing as important in order to integrate the two organisations and maximise the potential synergies. She illustrates this idea as:

... We have to live the differences, we can’t overcome them ... We have to show great respect to each other ... we all have to understand the differences.

Volvo-Ford integration strategies and acculturation process: an exciting learning experience for both parties

Volvo employees felt an impact moving from the AB Volvo group to the Ford Motors group. In the original situation, Volvo represented 51 per cent of the whole business group, which involves also buses, marine engines and related products. Being acquired by Ford means that this position has dramatically changed. Volvo now represents only 8 per cent of Ford Motor Company total business:

For us it is a big change ... going from the majority to become a minority within a larger group ...

The new organisational structure

In order to differentiate two main product lines, the Ford Motor Company established two major divisions: Premium Automotive Group (PAG) and Ford Cars. Ford division concentrates on the more traditional products such as the Ford Fiesta. PAG division, on the other hand, focuses on their premium products: Jaguar, Land-Rover, Aston Martin, Lincoln and Volvo. Quoting the president of PAG:

Premium products are the engine that drives technology progress forward ... they motivate manufactures to produce the best and lead consumers to expect the best ... (Dr Wolfgang Reitzler, from Ford’s annual report, 2001).

The due-diligence period and the post-acquisition strategies

The due-diligence period of six months has focused primarily on potential financial synergies:

... they looked at everything that could have an impact on money, the culture impact was not investigated at that time ...

Immediately after the deal was done, “18 matching pairs” consisting of both Volvo and Ford executives were created. These formed the integration team. They reported to a steering committee consisting of the Volvo president and some key players within Ford. The integration teams were created in order to find synergies in specific areas such as power trend, purchasing, marketing, research, etc. These teams were set up with

equal numbers of participants from both companies working together on an equal basis:

That was really an interesting way to overcome the cultural differences.

Areas of synergy achieved so far between Volvo and Ford

Technology transfer. In terms of technology transfer, immense opportunities for synergy are foreseen by both parties. Volvo engineers visit US plants in order to offer US engineers knowledge, primarily on safety and ergonomics:

We are working in collaboration ... American engineering comes to Swedish plants to transfer modern technologies such as: new engines, different and more modern raw materials to work with.

These synergies are perceived by employees from both companies as very positive outcomes from the acquisition process.

Marketing and sales. From the product point of view, Volvo employees want to keep their brand, develop it further and “not to damage it or to dilute it”. In the marketing department there is a lot of excitement regarding the merger process generated by Volvo’s employees pride in their products. It is regarded as the soul of the company. Volvos’ Scandinavian office spaces represent also “our brand specific”.

Volvo employees now enjoy a much better relationship with the car dealers. Being a small brand, it was difficult to find the right dealer, as selling only Volvo vehicles offered limited scope. But if they are able to sell Jaguar, Land-Rover and Volvo it is a more attractive proposition:

We are more attractive on the dealer market now that we are together ... we are more powerful financially ...

The new dealers approach is shared within PAG, the premium car models not with Ford.

Another interesting aspect of synergies between Volvo and Ford is related to research and development and the future development of fuels. These activities are still developed in the Ford group. However, Volvo have their own people joining them in specific projects. The best engineers from Volvo are transferred to the US research and development department “in order to work for all of us ...” There are other areas where interesting synergies can be found: for example, purchasing and environmental care. Almost 100 per cent of a Volvo car can be recycled. Ford is utilising this knowledge.

5. Discussion

We can observe common practices associated with success. The common issues are linked to the steps the three acquirers used to integrate their different entities, i.e. in their knowledge transfer, learning and acculturation processes.

The creation of an integration team was a common practice in the three case studies. A strong commitment from top executives to lead the new entities into the future seems vital to minimise the uncertainties associated with employee’s roles and future direction. The cases also illustrated that appropriate integration strategies can overcome cultural diversity. A fundamental question is not: “Do we fit?” but: “Are we willing to fit?” (Gaertner *et al.*, 1989).

An appropriate culture assessment exercise aims to identify any significant differences or similarities between the core values, beliefs, attitudes and management style of the target company and the potential acquirer partner before the deal is completed. This was clearly a decision made by DB-BT top executives and it proved a useful and valuable part of their integration strategy. With Volvo, as seen by management, a culture awareness exercise if conducted before the deal closed would have facilitated the learning and acculturation process in terms of better understanding of each other’s working values and beliefs in an earlier stage.

The case studies have demonstrated, as in the literature, that while nationality and cultural differences may decrease the perception of a common identity, the awareness of a common set of goals and objectives may reinforce integration. In the three case studies, intergroup co-operation has been fostered by top management. The creation of the integration teams induces the members of both groups to conceive themselves primarily as one large group rather than separate entities: from “us” and “them” into the more inclusive “we” (Gaertner *et al.*, 1989).

As theorists on management learning have pointed out (see Friedman, 2002) organisational learning begins, and often ends, with the individual. Therefore, the role of the individual is critical as an agent of organisational learning. All learning takes place inside the individual human heads, organisations learn either through the learning of their members or by taking in new members with new knowledge which is the case of merging firms. Given the proper training and support, individuals, at every level of organisations can encounter new

Alzira Salama,
Wayne Holland and
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*Challenges and opportunities
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three international case
studies – Deutsche Bank-
Bankers Trust;
British Petroleum-Amoco;
Ford-Volvo*

Journal of European Industrial
Training
27/6 [2003] 313-321

ideas, errors, puzzles and other opportunities for learning which can increase satisfaction and organisation effectiveness. Thus the role of HR functions, more specifically, the training department is crucial in developing people skills in learning.

The cases illustrated that a process of knowledge transfer and creation can be triggered in merging firms which allows for intercultural and inter-organisational learning to occur. Having the time to know about other units early in their partnerships may be a way to avoid clashes later. Over time, managers learn about each other as colleagues rather than as stereotypical groups of people, like “Americans and Germans”. While companies usually conduct financial due-diligence to assess prospective targets for acquisition, fewer consider the people dimension.

The learning process is clear in the three cases and the firms feel the success of the acquisition process as both are gaining with the results. They feel stronger to compete.

5. Conclusions

This article examined integration strategies in international acquisitions looking at Deutsche Bank-BT, British Petroleum-Amoco and Ford-Volvo. An underlying assumption was that success is only possible when potential benefits are realised through an effective post-merger integration and acculturation process. The acquisition of new competencies and knowledge through the merging process is an important motive behind the firms’s co-operation and can be an important and desirable by-product of their collaboration.

The case studies demonstrate that the impact of cultural differences in international M&A can be minimised when the buying firms takes the time to create a positive atmosphere for capability transfer before initiating any actual consolidation of human and physical assets. The need for strategic interdependence (low or high) and the need for organisational autonomy (low or high) vary between the uniqueness of each acquisition process. It became clear that a culture change process has been triggered in the three merging groups which seems to be a positive sign of company development, revitalising and growth. New ideas have been implemented and old ideas challenged, a new organisational culture has been gradually emerging which will reflect in performance and profitability.

If learning is an important source of competitive advantage, then firms who

accumulate skills and knowledge appropriate to their environment will outperform those who do not (Geroski and Mazzucato, 2002). As shown in the case studies, appropriate integration strategies implementation can facilitate the learning and acculturation process resulting in minimising the uncertainties in the work place, and increasing the willingness to co-operate and to be part of a new culture entity. The socio-cultural integration of two previously discrete work forces and their organisational cultures is a major management task.

This article reported the preliminary results of an ongoing research project. Each research contribution builds on previous work and also offers opportunities for new insights. We are currently developing in-depth case studies with one or more of the firms described. This is a complex and stimulating multidisciplinary area of comparative management, which has important implications for global business development.

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Alzira Salama,
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*Challenges and opportunities
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Journal of European Industrial
Training
27/6 [2003] 313-321

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